5

Perfect Storm Conditions for Tournaments in Japan

In Chapter 3, I argued that when incumbents can discern their vote shares at a disaggregated unit within their electoral districts and influence allocations of central government resources to those units, they will have the tools to pursue an electoral strategy of "group-based clientelism" (GBC). Under GBC, the amount of resources groups receive is tied to the level of support they provide the politician in elections. Whereas scholars have tended to treat the allocation of central government resources to geographically defined groups of voters as a mode of distribution distinct from clientelism, I argue that whenever incumbents are tying the amount of resources groups receive to the level of electoral support provided, such that resources ebb and flow as a function of support, it makes more sense to conceptualize this as a *clientelistic* electoral strategy.

By carving out a clientelistic exchange with groups of voters, whose levels of support can be observed, I explained that incumbents are able to sidestep the myriad problems that arise when clientelistic exchanges are attempted with individual voters, whose votes are never (or hardly ever) observed. The problems GBC solves for the reelection-seeking politician, coupled with the fact that geographically targetable spending is a staple of government budgets in many countries, opens up the possibility that goods ordinarily believed to be *outside* the purview of clientelism – namely, discretionary spending on geographically defined groups of voters, otherwise known as pork-barrel politics – are actually being allocated clientelistically, in ways that tether voters to their incumbents and take away their freedom to vote for whomever they choose. On this basis, I argued that comparative politics scholars interested in elections, pork-barreling, and clientelism should devote serious attention to the possibility that GBC is occurring in their countries of interest. This could either be on a large scale, if all electoral districts meet these

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conditions, or on a smaller scale, if only a handful of electoral districts do. Either way, it should be studied.

In Chapter 4, I explained that when electoral districts meet the conditions for GBC *and* there is a dominant party, incumbents in this party will be able to get the most bang for their buck – meaning the most *votes*, conditional on *resources* delivered – by converting voting into a *competition* over which groups are the most electorally loyal. This aspect of the book draws on earlier work, both theoretical (Smith and Bueno de Mesquita 2012, 2019) and applied (Catalinac, Bueno de Mesquita and Smith 2020). In such a competition, the incumbent makes it known that she plans to rank groups according to their loyalty in the most recent election and allocate "prizes" (central government resources) on the basis of rank. More specifically, when electoral districts consist of multiple groups, the incumbent can promise the largest prize (the most resources) to the unit that ranks first in electoral loyalty, the second-largest prize to the unit that ranks second, and so on. Moreover, if she makes the difference in size of the prize received by the first and second place-getter larger than the difference in size of the prize received by the second and third place-getter, and so on, she can create a situation in which voters in groups with a chance of placing first will vie for first place. Vying for first place drives up her support in these groups such that neck-and-neck competition ensues. Neck-and-neck competition, in turn, means that group rankings can turn on handfuls of votes. By committing to dispense resources in this manner, the incumbent creates an environment in which voters in supportive groups have reason to set aside whatever personal feelings they may harbor toward her or her policies and reason that, because the incumbent's reelection is very likely, they are better off using their vote to influence the size of their group's prize.

In this book, I provide a blueprint for how researchers should go about testing the theory in their countries of interest. First, a deep dive into the country's political institutions is required, to ascertain whether electoral districts meeting these conditions exist and if so, how many and which ones. As will be clear below, this is not as straightforward as it first appears. It involves the aggregation of subtle information about electoral districts, subnational governance, and the interaction of the two. After this information has been gathered and districts meeting the conditions identified, the researcher should gather data on voting behavior, resource allocations, and other confounding variables for all groups within these (tournament-possible) districts and devise stringent empirical tests capable of pitting the theory's propositions against those of rival theories. This chapter is concerned with the first stage of the empirical strategy, while the tests in Chapters 6–8 implement the second stage.

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The conditions that must be satisfied for politicians to implement GBC (and a tournament) are that electoral districts are divisible into groups of voters, at which electoral support is discernible and resources deliverable. Are these conditions met in Japan? In Section 5.1, I focus on the "observing support" side of the equation. I explain that the laws governing the administration of elections, the drawing up of electoral districts, and subnational governance in Japan create many electoral districts in which candidates in Lower House elections can observe their support at a disaggregated level. This level is the *municipality*. Switching to the "delivering goods" side of the equation, Section 5.2 explains how the fiscal relationship between tiers of government in Japan creates a situation in which municipalities are tasked with many responsibilities yet have insufficient revenue. As a result, the vast majority of Japanese municipalities are highly dependent on transfers from the central government, some of which are allocated at the discretion of central government bureaucrats (Scheiner 2006). I spell out what is publicly known about how one particular fund, national treasury disbursements (NTD), is allocated, and I present evidence that year-to-year allocations are vulnerable to political influence.

In Section 5.3, I explain that the confluence of these laws mean that the conditions for tournaments were satisfied for the vast majority of politicians in Japan's Lower House elections until the 1994 electoral reform. I explain how the redrawing of electoral district boundaries that accompanied the reform, as well as an increase in the raw number of districts (necessitated by the switch from larger, multiseat districts to smaller, single-seat districts [SSDs]), reduced the share of districts in which tournaments are possible from approximately 91% of all districts to approximately 73%. This share was further reduced by municipal mergers, which took place from 2002 until 2006, and ongoing urbanization, such that as of 2014, the last year for which I have data, tournaments were possible in approximately *half* of all Lower House electoral districts.

Finally, I explain that the theory would expect that the creation of more tournament-impossible electoral districts over time has created a *bifurcation* in LDP electoral strategies: LDP candidates in tournament-possible districts conduct tournaments, in which they use the promise of central government resources to buy votes, while their counterparts in tournament-impossible districts do not. While the theory is agnostic about what happens in tournament-*impossible* districts, the balance of theory and evidence suggests that politicians who cannot use tournaments will revert to policy competition and use positions on policy to win. Regardless of what politicians in tournament-impossible districts

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do, it is reasonable to expect that this bifurcation would manifest itself in qualitatively different election outcomes across the two types of districts. I present simple analyses showing that, controlling for other differences between electoral districts and election years, tournament-possible electoral districts exhibit higher support for LDP candidates, have higher turnout, are more likely to produce LDP winners, and are less likely to see no LDP candidate fielded.[1] At the aggregate level, then, tournaments appear to contribute to LDP election victories. The next three empirical chapters, which focus on municipalities within tournament-possible districts, decipher *how*, exactly, they do this.

5.1 OBSERVING SUPPORT

During the Allied Occupation of Japan (1945–1952), four laws were passed, the combination of which enable candidates to discern relative levels of electoral support from groups in their electoral district. One was the Constitution (1947), which has remained unamended to this day.[2] The Constitution awards sovereignty to the Japanese people, recognizes universal adult suffrage, designates the Diet as the nation's sole law-making body, states that the Diet is comprised of two Houses, explains how the House of Representatives (the Lower House) can override the opinion of the House of Councilors (the Upper House) on certain matters and under certain conditions, and includes a host of other stipulations. Importantly, the Constitution stipulates that the electoral system used to select Members of both Houses and the electoral districts in which those Members would compete are to be "fixed by law" (Article 47). The Constitution also provides for a system of local self-government through "local public entities," the details of which would also be "fixed by law."

Also in 1947, Law No. 43 was enacted, which stipulated that the system to be used to elect Members of the Lower House would be what is known in Japan as the "medium-sized district system" (Chusenkyoku Seido). Comparative politics scholars call this "single-non-transferable-vote in multi-member districts" (SNTV-MMD). The law established 117

[1] Chapter 6 presents further evidence of this bifurcation with analyses showing that LDP candidates in tournament-possible districts promise more money for their communities in their election manifestos than their counterparts in tournament-impossible districts, and survey evidence showing greater congruence between policy preference and vote choice in tournament-impossible districts than in tournament-possible districts, respectively.

[2] An English translation of the Constitution can be found here: https://japan.kantei.go.jp/constitution_and_government_of_japan/constitution_e.html.

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multimember districts, each of which would elect three, four, or five representatives.[3] Initially, the total number of Members to be elected was set at 466. Law No. 43 also stipulated that voters would have a single vote to cast and the top second, third, fourth, or fifth vote-winners in the district would win a seat, depending on the total number to be elected in that district (district magnitude).[4] Critically, the law upheld another principle that had been a feature of Japanese elections ever since the Meiji Government enacted the very first Lower House Law in 1889.[5] This was the principle that electoral districts would, to the extent possible, respect the boundaries of existing administrative entities (chihou kokyou dantai) (Hayashida 1967, 27).

What are those administrative entities? The Local Autonomy Law, also passed in 1947, stipulates that the units of elected local government are prefectures and municipalities. Prefectures, which cover a much larger area than municipalities, have existed as formal administrative entities since 1878. In 1947, Japan had forty-six prefectures. Since Okinawa was reverted to Japanese control in 1972, Japan has had forty-seven. In 1947, when the Local Autonomy Law was passed, there were more than 10,000 municipalities, which consisted of cities, towns, and villages, respectively.[6] The Act conferred new responsibilities on municipalities, which included providing social welfare and operating junior high schools. Following this, the Law to Promote the Merger of Towns and Villages (1953) and the New Municipality Creation Promotion Law (1956) encouraged smaller villages and towns to merge and new cities to be created, with the goal of enhancing the fiscal and administrative capabilities of municipalities. By 1961, the number of municipalities had fallen to approximately 3,400 (Yokomichi 2007). With minor changes, the number of municipalities stayed at around 3,300 until the 2001–2006 period, when another law encouraging mergers led to further consolidations (Horiuchi and

[3] Amami Oshima was added as an electoral district in 1953. It was the only district that elected a single representative (Ward 1966, 552). In 1992, it ceased to exist, with its area being incorporated into Kagoshima 1st District.

[4] The same system, down to the total number of elected representatives, the three-, four-, and five-member districts, and even the boundaries of most electoral districts had been in place from 1925 to 1934 (Ward 1966).

[5] Prior to the promulgation of the 1947 Constitution, sovereignty had been vested in the Emperor. However, the Meiji Government, which ruled after the Meiji Restoration (1868) and was the architect of the extraordinary modernization program that took place in this period, declared that it intended to decide matters on the basis of public opinion, and to this end, had established elected bodies.

[6] As part of Japan's modernization, a 1889 law had established cities, towns, and villages as local administrative units, appointing them responsibilities that included levying taxes and operating elementary schools.

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Saito 2003). By 2006, the number of municipalities had been whittled down to approximately 1,800, and this number remains only slightly less today. For the duration of our study (1980–2014), there have been four types of municipalities: cities, special wards (administrative units within the Tokyo metropolitan area), towns, and villages.[7] The Local Autonomy Law stipulates that regardless of type, all municipalities are to be headed by a mayor (or chief) and assembly. Separately elected, mayors and assembly members are both appointed to four-year terms (conditional on not losing their positions due to dissolution or no-confidence motion).

The fourth law of interest to us, also passed during the Occupation, was the Public Office Election Law (POEL), enacted in 1950. This is a lengthy law that details almost every rule imaginable pertaining to elections to Japan's Lower House, Upper House, prefectural governor and prefectural assemblies, and municipal mayor and municipal assemblies (McElwain 2008).[8] The law assigns two important functions to municipalities. One is the responsibility of *administering elections*, which involves managing the voter roll (senkyonin meibo), establishing polling stations (touhyoujo), advertising the location of polling stations ahead of time, and facilitating voting on election day (Chapter 3, Article 17). The other is the responsibility of counting the votes cast and reporting the vote tallies to the Election Chief (Senkyo Cho), an individual charged with receiving the results and reporting them (Chapter 3, Article 18).[9] To carry out these tasks, municipalities establish Election Management Commissions (Senkyo Kanri Iinkai), which appoint individuals to serve in the roles of Presiding Officer for Voting (Tohyou Kanrisha), Witnesses to Voting (Touhyou Tachiainin), Presiding Officer for Counting (Kaihyou Kanrisha), and Witnesses to Counting (Kaihyou Tachiainin), respectively.

[7] Cities with populations greater than 500,000 can be a "designated city" (seirei shitei toshi). This is discussed further below. Since 1996, cities with populations greater than 200,000 can be designed a "core city." Until 2015, a further designation, that of "special city" (tokureishi) was also used.

[8] The law (Koshoku Senkyo Hou) can be found at https://elaws.e-gov.go.jp/document?lawid=325AC1000000100.

[9] Strictly speaking, the law assigns the responsibility of administering the election to a "Vote Casting Unit" (Touhyouku) and the responsibility of counting the votes to a "Vote Counting Unit" (Kaihyouku). But it says that those units are coterminous with a municipality, unless there are extenuating circumstances. A circumstance mentioned is when different sections of a municipality are located in different electoral districts. I discuss this further below.

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5.1 Observing Support

5.1.1 How Votes Are Counted

According to the POEL, voting takes place in the following manner. On election day, voters go to one of the polling stations administered by their municipality's Election Management Commission to cast their vote.[10] Each polling station is overseen by a Presiding Officer for Voting and between two and five Witnesses to Voting. Voters go into a private booth (tohyoukisaidai) by themselves. On a government-issued ballot, they are instructed to write the name of the candidate or party, depending on the election in which they are voting (Chapter 6, Article 46).[11] At 8 p.m., the time polling stations are scheduled to close, the Presiding Officer fastens the door to the polling station and closes the ballot box (touhyoubako), after which no additional votes may be added (Chapter 6, Article 53). The Presiding Officer for Voting, together with at least one Witness to Voting, are responsible for transporting the closed ballot boxes to the physical location at which they will be counted, which the municipality has designated ahead of time.[12] The Law suggests that votes be counted at the municipal office (Shiyakusho or Choson Yakuba) but also says that municipalities can designate another place, if necessary (Chapter 7, Article 63).

After every ballot box has arrived, the Presiding Officer for Counting and Witnesses to Counting oversee the process by which votes are counted. First, these individuals open the ballot boxes and decide whether or not to "accept" the votes brought to them by the Presiding Officer and Witnesses to Voting (Chapter 7, Article 66). Second, they take the votes from polling stations in the municipality, as well as votes from polling stations that had been established for the purpose of early voting in the municipality, and *mix them together* (kondo suru), making sure to keep votes cast for different elections – for example, the SSD tier and the proportional representation (PR) tier, which are held simultaneously –

[10] Many municipalities mail registered voters pamphlets explaining where the polling stations will be located on election day and an entrance ticket with the voter's name on it (nyuujoken). Designed to speed up the process of verifying voters' identity on election day, these entrance tickets are not required of voters. In the event a voter shows up without one, voters are encouraged to use their driver's license or other identification to verify their identity.

[11] Japan introduced the secret ballot for the first time in 1900. The right to vote in secret is enshrined in the Constitution and mentioned in the POEL (Hayashida 1967). In Lower House elections, Japan uses "voting in your own handwriting" (jishoshiki touhyou).

[12] Strictly speaking, votes are transported to the place the Vote Counting Unit (see the above footnote) has designated as the physical location at which votes will be counted. But the Vote Counting Unit *is* the municipality, unless the municipality has established more than one Vote Counting Unit.

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separate.[13] After this mixing, counting ensues. After the count is over, the Presiding Officer for Counting, after having consulted with the Witnesses and secured their consent, reports the tally of votes won by candidate or party to the Chief Election Officer (Chapter 8, Article 75).[14]

Christensen and Colvin (2009) studied the occurrence of "election-night corruption" in Japan, Canada, and the United States. They argue that this type of corruption happens when communities can delay the reporting of results. This enables corrupt election administrators to observe other communities' returns, calculate how many extra votes their preferred candidate needs to win, and manufacture those votes. The authors find no evidence of this in Japan, and they attribute this to five factors: the fact that laws governing election administration are codified in national law (and are not under the control of elected leaders at the local level); the fact that members of local Election Management Commissions are selected in municipal assemblies by public vote; the fact that candidates can nominate Witnesses to Counting; the fact that counting does not begin until all ballot boxes designated to be counted at that polling station have arrived; and the fact that votes from different polling stations are mixed together before counting, respectively (Christensen and Colvin 2009, 213).

In sum, these four laws create a situation where, in elections to Japan's most-powerful legislative body, voters cast their votes in the municipality in which they live and the vast majority of municipalities are perfectly nested within a single electoral district. For incumbents competing in these districts, the fact that votes are counted and reported at the level of the municipality means that they can easily discern the number of votes they received in each municipality in their district. The flip side of these rules is that incumbents *cannot* discern their vote totals at a more disaggregated level within each municipality, such as the neighborhood, precinct, or polling station.[15] Indeed, in a frequently asked question (FAQ) section of its website, Atsugi City's Election Management Commission explains that the mixing of votes from different polling stations is a

[13] Municipalities may be comprised of more than one Vote Counting Unit. As I described above, this tends to happens when sections of a municipality span more than one electoral district. Municipalities with more than one Vote Counting Unit can count votes for these different Units in the same physical location. Under these circumstances, the Presiding Officer and Witnesses for Counting have to be careful not to mix votes from polling stations in one Vote Counting Unit with votes from polling stations in a different Vote Counting Unit.

[14] More information about the Chief Election Officer's role can be found here: www.soumu.go.jp/senkyo/senkyo_s/naruhodo/naruhodo06.html#chapter4.

[15] The inability of politicians to discern their vote totals at a more disaggregated level within each municipality is discussed in Curtis (1971).

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tactic designed to safeguard the secrecy of the ballot. As such, the Commission emphasizes that it cannot provide breakdowns of candidate or party votes at a more granular level because these are not available.[16]

5.1.2 How the Level at Which Support Is Discernible Varies

How has the level at which politicians can discern their support in Lower House elections varied across electoral districts and election? We can answer this question by looking at the number of municipalities in each electoral district. This book focuses on the 1980–2014 period. From 1980 until 1994, the relatively *large* number of municipalities (approximately 3,300) and relatively *small* number of (multimember) electoral districts (initially 117, but rising to as many as 131 as new districts were created to cope with the growth of the electorate in large cities) meant that the average electoral district consisted of twenty-six whole municipalities. The fewest municipalities in an electoral district was 2 and the greatest was 64. During this period, only four municipalities in total (out of approximately 3,300) spanned more than one district.[17]

In 1994, Japan reformed its electoral system, introducing a mixed-member majoritarian (MMM) system comprised of two tiers. One tier consisted of 300 SSDs, from which a single candidate was elected via first-past-the-post and the other tier consisted of 11 regional blocs, from which 200 members were elected according to closed-list proportional-representation. My focus is on districts in the first (SSD) tier.[18] Since then, the number of electoral districts in this tier was decreased to 295 and is now 289, while the number of seats in the second tier was also decreased, first to 180. Today, it is 176. Critically for our purpose, the principle that electoral districts should respect the borders of existing administrative entities was maintained.

To draw up the 300 new electoral districts in 1994, the government created a Deliberative Council, which consisted of seven members, who were appointed by the Prime Minister and assented to by the Houses.[19] The law establishing the Council charged it with drawing up the new electoral districts in a "rational" fashion, taking into account the need to respect the borders of existing "administrative entities" (gyosei kukaku) and the need to keep the vote-seat disparity across electoral districts to

[16] See www.city.atsugi.kanagawa.jp/soshiki/senkyokanriiinkai/2/2021.html.

[17] These were Koriyama City in Fukushima prefecture, Chiba City's Midori Ward, Okayama City, and in the 1990 election, Osaka's Chuo Ward.

[18] For research on districts in the PR tier, see Catalinac and Motolinia (2021*b*).

[19] The Deliberative Council was established with the Law for the Establishment of a Deliberative Council for the Demarcation of House of Representatives Election Districts. This can be found here: https://elaws.e-gov.go.jp/document?lawid=406AC0000000003_20160527_428AC0000000049.

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two or under, respectively (Article 3).[20] To this end, the Council was given an explicit mandate to consult with local government bodies (Article 8). After drawing up the boundaries, the Council was required to submit them to the Prime Minister, who would present them to both Houses. If agreed upon, they would appear as Appendix One of the revised POEL.[21] Between 1994, when the electoral system was reformed, until the 2003 election, the average electoral district contained twelve whole municipalities. The fewest number of municipalities in a district was 1 and the greatest was 42. Of the approximately 3,300 municipalities in existence at this time, the number that spanned more than one district was fifteen in 1996 and 2000 and seventeen in 2003.

In 1999, as part of a decentralization drive that began in the mid 1990s, the government embarked on a plan to encourage municipalities to undertake mergers by the end of the 2005 fiscal year (Yokomichi 2007; Yamada 2016; Yamada and Arai 2021). The officially stated objectives of the plan were couched in rationalization terms: The central government wanted municipalities to become more self-reliant, so that the money it was having to distribute in the form of intergovernmental transfers each year could be reduced (Horiuchi, Saito and Yamada 2015, 113). By 2005, many municipalities had taken the government up on its offer, which reduced the total number of municipalities to approximately 1,800. Of the 3,252 municipalities that existed as of January 2000, 1,992 (61%) of them underwent mergers, while the remaining 1,260 municipalities stayed, borders intact (Horiuchi, Saito and Yamada 2015, 100). Since 2005, the average electoral district has contained seven municipalities. The fewest number of municipalities in a district was 1 and the greatest, 34. In addition, the number of municipalities spanning more than one electoral district increased. It was fifty-one in 2005, eighty-five in 2009, eighty-eight in 2012, and eighty-five in 2014, respectively.

The distribution in Number of Municipalities Per Electoral District across these three periods is displayed in Figure 5.1. Two patterns are evident. One is that as time goes on, the average electoral district has consisted of fewer municipalities. Another is that as time goes on, variation in the number of municipalities per district has declined.

[20] According to Reed (1995, 1077), requiring that the wishes of local government bodies be respected in the drawing up of the new electoral districts made it nearly impossible to make the populations of those electoral districts equal; hence, the need for the statement about vote-seat disparity.

[21] The POEL also included provisions for how changes in district boundaries would be determined in the event population changes necessitated it and in the event municipalities merged with other municipalities (Chapter 3, Articles 12 and 13).

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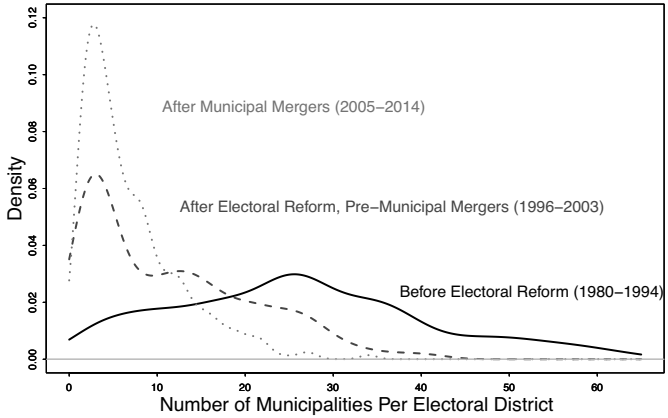

Figure 5.1 This plots the number of municipalities per electoral district for the twelve elections to Japan's Lower House, 1980–2014.
The data is divided into three periods to show how the number of municipalities per district changed, first with electoral reform (1994), which increased the number of electoral districts, and then with municipal mergers (2001–2005), which decreased the number of municipalities.

5.2 DELIVERING GOODS

The above discussion established that many candidates in Lower House elections compete in electoral districts divisible into groups of voters, from which electoral support is discernible. Let us now turn to the second condition: money. Do Lower House Members have access to resources that they can target at the municipalities in their districts? An abundance of evidence implies that the answer to this question is "yes." Importantly, Japan is characterized by "centralized tax administration, decentralized provision of public services, and dependence of local government on intergovernmental transfers" (Mochida 2001, 85). What this means is that the bulk of *taxes* in Japan are collected by the central government, but the bulk of *spending* is carried out by local government entities, both prefectures and municipalities. The relationship between Japan's central and local governments is thus characterized by a "vertical fiscal imbalance," meaning that revenues typically exceed spending at the central level and fall short at the local level (Mihaljek 1997; Yonehara 1986). Each year, this imbalance is redressed by vast sums of money being transferred from the central government to local governments via a series of intergovernmental transfers.

In this section, I describe the features of intergovernmental relations in Japan that give rise to a situation where the vast majority of local governments are highly dependent on central government transfers (Scheiner 2006). I then present qualitative evidence that annual allocations of one

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transfer, NTD (kokko shishutsukin), are vulnerable to manipulation by politicians.

5.2.1 Vertical Fiscal Imbalance in Japan

First, Figure 5.2 plots the share of tax revenue in Japan collected by the central government (dark gray bars) and local government(s) (both prefectures and municipalities) (light gray bars) for each year, 1980–2015. Figure 5.3 plots the share of government expenditure by the central government and local governments, respectively, for the same period. On average, local governments collect only 39.4% of tax revenue but are responsible for 61.4% of government spending. Viewed as shares of gross domestic expenditure (GDE), of which the bulk is household spending, spending by local governments accounted for an average of 18.5% of GDE during this period, whereas spending by the central government accounted for just 11.6% of GDE. Municipalities, of special interest to us, make up approximately half of all local government spending, with the remaining half the preserve of prefectures. In 2000, municipalities spent 51.1610 trillion yen, which equates to approximately $381 billion USD (in today's exchange rate).[22]

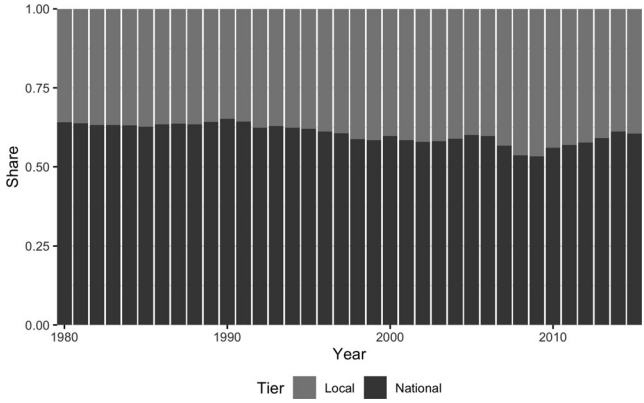

Figure 5.2 This plots the share of tax revenue collected by the central government (dark gray) and local governments (light gray) annually for the period 1980–2015.

[22] This data was assembled from the annually published White Paper(s) on Local Public Finance (Japanese versions). Tax revenue data comes from a table called Kokuzei Oyobi Chihouzei no Ruinen Hikaku. Spending data, including as a share of GDE, comes from a table called Chihou Zaisei to Kuni no Zaisei to no Ruinen Hikaku. As is customary, central government spending is calculated after subtracting transfers to local governments (described below), and local government spending is calculated after subtracting transfers to the central government (these are very small and are the local government's share of public works projects undertaken by the central government in the locale). Spending by prefectures and municipalities is reported in a table called Dantai Shurui Betsu Kessan Kibo no Jyoukyou.

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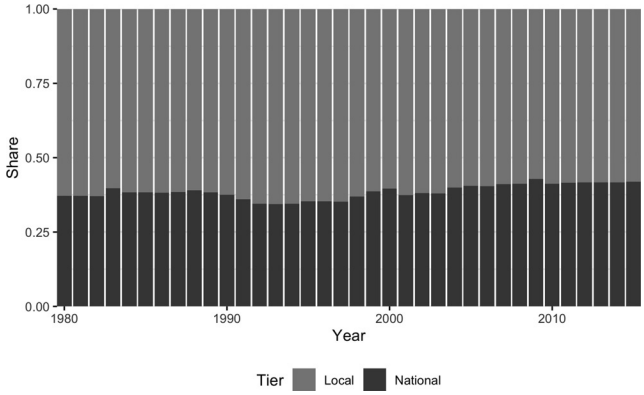

Figure 5.3 This plots the share of government expenditure by the central government (dark gray) and local governments (light gray) annually for the period 1980–2015.

The vertical fiscal imbalance apparent in these figures arises for two reasons: one, because the central government assigns more functions to local governments than they are capable of performing with their own revenue; and two, because the central government demands a certain degree of uniformity in the performance of these functions by all local governments, regardless of fiscal capacity (Bessho 2016; Mihaljek 1997). This latter point is important: A "defining feature" of intergovernmental relations in Japan is a "strong collective preference for equal access to public goods" (Mihaljek 1997, 289). Since the immediate aftermath of the Second World War, there has been widespread support in Japan for the idea that people should experience the same level of taxation and be supplied with the same quality of government services, regardless of where they live. Correspondingly, there is widespread support for the idea that any local government projected to experience difficulty providing services that meet this standard should be able to count on money from the central government to bring up the level of service provided. Scholars have pointed out that the commitment to local autonomy enshrined in Japan's Constitution sits somewhat uneasily alongside this deeply ingrained preference for equal access to public goods. Why? Because the desire for equality provides a justification for the central government to exercise "detailed and stringent controls over the revenues of local governments and a wide range of local expenditures" (Mihaljek 1997, 285). While local governments enjoy autonomy in theory, in practice "almost all activities of local governments" are subject to "guidelines, standards, and regulations" set by the central government (Yonehara 1986, 159). On this basis, one analyst concluded that "the degree of effective revenue and expenditure centralization in Japan is among the highest in industrial countries" (Mihaljek 1997).

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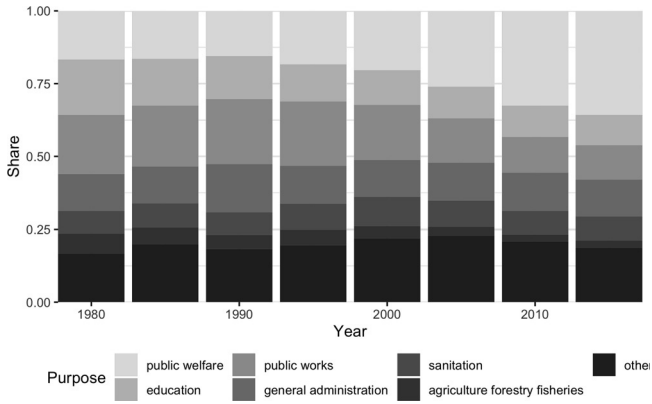

Figure 5.4 This plots the breakdown of municipal spending by purpose at five-year intervals between 1980 and 2015.

Under Japanese law, the functions performed by the central government are limited to defense, diplomacy, judicial affairs, social security (specifically, pensions), national universities and research facilities, national hospitals and medical facilities, national highways, and first class rivers (Mochida 2008, 48). All other functions are the preserve of local governments. Prefectures are charged with police, high schools, salaries of teachers in the compulsory education sector, social assistance, certain roads, and second-class rivers. Municipalities are responsible for urban planning and infrastructure, public housing, sewerage and waste disposal, clean drinking water, municipal roads, firefighting, residential records and the family registry, social insurance (specifically, the national health insurance and long-term care insurance), the maintenance of kindergartens, elementary and secondary schools, and the administering of elections (Yamada 2018; Weese 2015; Mochida 2008). As these lists show, it is not that one level of government is entrusted with *all* tasks falling in the categories of education or social welfare; broad policy sectors have *many* responsibilities associated with them, which are assigned to different government entities (Mochida 2008, Chapter 3).

Figure 5.4 plots the breakdown of municipal spending by "purpose" at five-year intervals between 1980 and 2015.[23] Until 2000, expenses related to public works (dobokuhi) comprised the largest share, after which came expenses related to public welfare and education. Public works expenses include the cost of constructing and maintaining public facilities, such

[23] The Japanese government prepares annual breakdowns of local government spending according to both "purpose" (mokutekibetsu) and "type" (seishitsubetsu). Data in this section come from annually published White Paper(s) on Local Public Finance (Japanese versions). See tables and figures entitled "Dantai Shurui Betsu Mokuteki Betsu Saishutsu no Jyoukyo."

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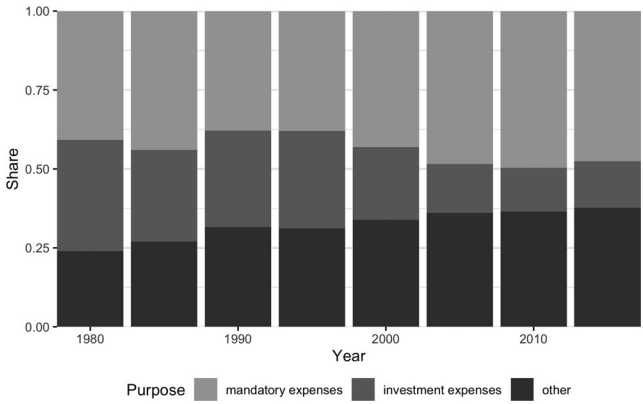

Figure 5.5 This plots the breakdown of municipal spending by type at five-year intervals between 1980 and 2015.

as roads, bridges, housing, parks, harbors, and rivers that fall under the purview of the municipality. Expenses for public welfare include the cost of constructing and operating welfare facilities for children, the elderly, and the disabled, as well as dispensing the public assistance municipalities are responsible for. Education expenses include the cost of constructing and maintaining school buildings and gymnasiums. Since the late 1990s, welfare expenses have doubled, relegating public works to second and then third place, respectively. Education expenses have also fallen, reflecting the declining birthrate, as have expenses related to agriculture, forestry, and fisheries. Expenses in the Other category, which include debt servicing, firefighting, labor, and commerce and industry, have increased since the 2000s.

The second breakdown of municipal spending available is by "type." Here, the two overarching categories are Mandatory Expenses, which are those municipalities have little discretion over (and thus, would have difficulty reducing), such as personnel expenses and social assistance expenses, and Investment Expenses, more than 95% of which consist of ordinary construction projects. Expenses that do not fit neatly into either Mandatory or Investment expenses are characterized as Other and include reserves and transfers to other accounts. Figure 5.5 plots the breakdown of municipal spending by type at five-year intervals between 1980 and 2015.[24] While Investment expenses comprised almost one-third of municipal spending in the years prior to 2000, they have dropped to less than 15% in recent years. Still, the massive scale of municipal spending in Japan means that in 2015, for example, the 14.7% of spending

[24] See the White Papers' tables and figures entitled "Seishitsu Betsu Saishutsu Kessan Gaku no Kouseihi."

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on Investment translated into 8,310.6 billion yen (approx. $61 billion USD in today's exchange rate). Similarly, the 11.8% of spending in the public works category (in Figure 5.4) translated into 6,671.1 billion yen (approx. $48.7 billion USD in today's exchange rate).

5.2.2 *Municipalities Depend on Central Government Transfers*

Why, exactly, are municipalities so dependent on central government transfers? We can answer this question by looking at revenue data. There are four main sources of municipal revenue: local taxes, the Local Allocation Tax (LAT), NTD, and local bonds. Figure 5.6 plots the breakdown of local government revenue sources at five-year intervals between 1980 and 2015.[25] The largest revenue source is local government taxes. On average, 37% of local government revenue comes from taxes levied locally. It is on this basis that Japan's local governments are often described as being only "30% autonomous" (sanwari jichi). Of the two entities, municipalities derive most of their tax revenue from a municipal inhabitants tax (akin to a personal income tax) and a fixed asset tax (a property tax levied on land, buildings, and tangible depreciable assets). Prefectures derive most of their tax revenue from a prefectural inhabitants' tax (personal income tax) and an enterprise tax (corporate income tax) (Ishihara 1986).[26]

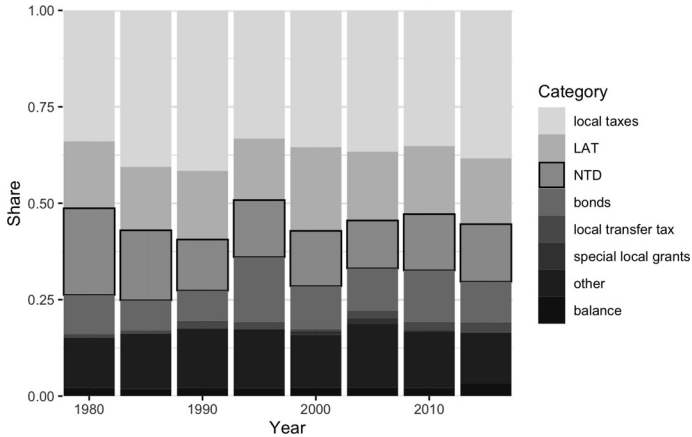

Figure 5.6 This plots the revenue structure of local governments at five-year intervals between 1980 and 2015.
The share captured by national treasury disbursements is highlighted with a black border.

[25] Data for this figure comes from a Table called Chihou Sainyuuchuu ni Shimeru Chihouzei Shyuunyuu no Wariai no Suii.

[26] Because corporate activities are more prone to business cycles, municipalities' tax revenue tends to be more stable than that of prefectures.

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Under Japanese law, local governments lack sufficient authority to introduce new taxes and adjust tax rates to suit local conditions (Shirai 2005). The taxes they are permitted to levy, the standard rates of those taxes, and where applicable, upper and lower limits to those standard rates, are codified in national legislation: the Local Tax Law (Chihouzei). Local governments are permitted to levy discretionary taxes or non-standard rates but have to receive special permission from the central government to do so.[27] Their ability to issue special local bonds to fund longer-term projects, a revenue source described below, is also tied to the rates at which they levy taxes. As a result, local governments "almost always" levy the standard taxes at the standard rates and "do not consider local tax rates a plausible choice variable." In 2013, only 1.5% of local government tax revenue came from excess taxation or discretionary taxes (Bessho 2016, 8).

After local taxes, the next largest revenue sources are two categories of intergovernmental transfers: the LAT, at 17.8% of local government revenue, and NTD, at 15.7%, respectively. Together, the data in Figure 5.6 reveal that they made up an average of 33.4% of local government revenue in our period.[28] Despite its name, LAT is not a tax but a mechanism for revenue-sharing between the central government and local governments, in which tax collected at the national level is redistributed to local governments (DeWit 2002). Established in 1954, LAT is the main vehicle through which the central government ensures that all local governments are able to provide their residents with a minimum level of public services and infrastructure, regardless of population, demographics, geographic location, weather conditions, economic vitality, and so on (Akizuki 1995). To this end, its purpose is to "adjust imbalances in tax revenue among local governments" and "guarantee revenue sources so that local governments in whatever region can provide a certain level of administrative services" (Bessho 2016, 12). Importantly, LAT allocations are a *general* revenue source, meaning that local governments are allowed to spend their LAT on whatever services they like.

How are LAT allocations determined? Every year, a fixed percentage of revenue from five major national taxes (personal income, corporation, liquor, consumption, and tobacco) are earmarked for the Local

[27] Examples of discretionary taxes include a merchandise certificate tax, an advertisement tax, and a nuclear fuel tax (Ishihara 1986, 142).

[28] In 1982, LAT and NTD made up close to 98% of the revenue local governments received from intergovernmental transfers. Three other categories of transfers made up the remaining 2%: special traffic safety grants; local transfer taxes; and transfer as a substitution of fixed property tax (Yonehara 1986, 158).

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Allocation Tax Special Account (Chihou Koufuzei Tokubetsu Kaikei).[29] This forms the pot of money available for LAT. To determine each local government's allocation, the central government calculates the local government's cost of providing services (called its standard financial requirement, or demand), and its expected revenue from taxation (the "standard financial revenue," or supply) (Shirai 2005, 217).[30] Dividing the former by the latter generates an index capturing the degree to which each local government is capable of funding services within its jurisdiction. Of the pot of money in the Special Account, 94% is designated as "Ordinary LAT" and divvied up among all local governments whose demand exceeds supply (local governments whose tax revenue outstrips supply are ineligible for LAT). In 2000, 97% of local governments received LAT (DeWit 2002, 358). The remaining 6% in the Special Account is designated as "Special LAT," and divvied up among local governments experiencing circumstances not anticipated when their demand was calculated (Akizuki 1995; Reed 1986; Ishihara 1986).[31]

Can LDP politicians influence LAT? Akizuki (1995, 359) argues that there is "no room for political negotiation or special consideration" as far as LAT allocations are concerned. He credits this to mechanisms adopted by the ministry in charge of LAT (and relations with local governments more generally): the then-Ministry of Home Affairs (MOHA, or Jichisho).[32] These mechanisms include the use of fixed percentages of earmarked national taxes to determine the total pool of money available for LAT; the use of a standard, publicly known formula to calculate each local government's supply and demand; and the cap of 6% for Special LAT. Together, these rules ensured that allocations were decided upon "without political considerations (pressure from interest groups and

[29] These percentages have fluctuated a little over time. Until 1989, 32% of the first three taxes was reserved for the Special Account (Reed 1986). In 1989, 25% of the consumption tax and 24% of the tobacco tax were added to the first three (Fukui and Fukai 1996, 274). Incremental adjustments have been made since then (DeWit 2002, 370).

[30] For the former, it calculates the number of service functions (e.g., police officers, city planning, parks, or garbage collection) deemed necessary for each local government. It then multiplies that number by the unit cost of each item, adjusted by a modification coefficient that takes into account factors specific to the local government in question, such as snowfall and other geographical features (Yonehara 1986, 163). An English translation of the Local Allocation Tax Law, which includes the formula for calculating demand and supply, is here: www.chihousai.or.jp/english/07/pdf/Local_Allocation_Tax_Law.pdf.

[31] Special LAT is used for expenses related to local elections, protection of historical properties, and disaster relief, among others (Yonehara 1986, 164).

[32] In 2001, a process of government reorganization took place, which saw MOHA merge with sections of the Ministry of Posts and Telecommunications and sections of the Management and Coordination Agency to form the Ministry of Internal Affairs and Communications (MIC, or Soumusho).

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political parties)." As indirect evidence of the absence of political meddling, he points out that LDP politicians' interest in MOHA is low, the Minister of Home Affairs is one of the least popular Cabinet positions, and posts in the corresponding Diet and party committees are unpopular (Akizuki 1995, 359). Others have agreed with his assessment that the formula under which LAT allocations are determined, and over-time adjustments to the formula to incorporate context-specific factors, have been key factors *limiting* the ability of ruling party politicians to influence LAT allocations (DeWit 2002, 361).[33]

Saying that politics plays little role in the *distribution* of LAT is not the same as saying that politics plays no role in the LAT regime itself. Instead of trying to influence LAT allocations, local governments appear to have directed their efforts toward maintaining, enlarging, and protecting the pool of money in the LAT Special Account. For example, they lobbied for larger percentages of the earmarked national taxes to be placed in the Special Account, and whenever recessions caused shortfalls between the amount in the Special Account and the amount required for LAT, they persuaded the central government to cover the shortfall by borrowing from other accounts. In doing so, they have avoided having to reduce expenditure or engage in any serious rationalization or restructuring (Shirai 2005; DeWit 2002).[34] A key reason they were successful is that in these instances, their interests dovetailed with those of MOHA bureaucrats, who are charged with ensuring the fiscal health of local governments and overseeing the pot of money in the LAT Special Account. Local governments have also been successful at weathering critiques of LAT that have emerged since the early 2000s. These center on the observation that decades of LAT funding has created local governments that are relatively *well*-endowed, infrastructure-wise, even in rural areas experiencing depopulation. Critics allege that the quality of services provided by many local governments go "far beyond" that of any national minimum and question whether continued levels of LAT funding are warranted, especially when funded by borrowing (Shirai 2005, 119).

5.2.3 *National Treasury Disbursements*

The third-largest source of local government revenue, and our focus in this book, is NTD. National treasury disbursement is money the central

[33] Technically, the central government can make local governments repay their LAT allocations if it deems they have been used in ways "not in accordance with local autonomy" (Akizuki 1995, 346).

[34] Mihaljek (1997, 295) notes that occasionally, political pressure influences what is included in the calculation of "standard financial requirement."

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government transfers to local governments for the purpose of funding specific programs or projects undertaken by the local government. It is not a *general* revenue source (like LAT), but a *specific purpose* revenue source, meaning that it is awarded for specific programs or projects and must be spent on those. While NTD is treated as another vehicle through which the central government can realize its commitment to the equalization of services across Japan, to the best of our knowledge, there is no formula determining how much NTD each local government deserves (unlike LAT) (Mihaljek 1997; Yonehara 1986). Nor does it appear that there any predefined rules governing the size of the total pool of money available for NTD each year.[35] The total amount of NTD received by each local government in a given year is the culmination of separate, project-specific disbursements issued at the discretion of the central government ministry with jurisdiction over that area. A local government might receive money for one project from the Ministry of Construction (later Ministry of Land, Infrastructure, Transportation and Tourism) and money for another from the Ministry of Agriculture, Forestry and Fisheries. The *sum* of monies it receives for these disbursements constitutes the total amount of NTD it receives in a given year. In 2015, 15,282.2 billion yen was disbursed to local governments as NTD (this equates to approximately $113 billion USD in today's exchange rate).

Unlike LAT, there is no law establishing NTD. The Local Public Finance Law (Chihou Zaisei Hou) specifies two categories of transfers that collectively make up transfers under the umbrella label of NTD (Mihaljek 1997; Yonehara 1986).[36] One category is central government disbursements to local governments for the purpose of "central government functions." These are functions that are inherently the central government's responsibility, but whose execution is entrusted to local governments. Specified in Article 10-4 of the law, until 2000, these were known as agency-delegated tasks (kikan inin jimu); since 2000, they have been called statutory entrusted tasks (hotei jyuutaku jimu). Examples of these functions include the administration of national elections and the provision of a national pension. The second category is central government disbursements for the purpose of "local government functions" (jichi jimu). Within this category, there are two subcategories: one, disbursements to cover the central government's obligatory share in the cost of certain prespecified local government functions (Article 10-1, 10-2,

[35] Like LAT, NTD comes under (the central government's) budgetary income. This is separate from income derived from the Fiscal Investment and Loan Program (FILP) and earmarked national taxes, both of which also consist of money that can be used to fund investment at the local level (Mochida 2008).

[36] The law can be found here: https://elaws.e-gov.go.jp/document?lawid=323AC0000000109.

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and 10-3); and two, disbursements for "specific projects" undertaken by the local government that the central government deems "important" (Article 16). The law specifies thirty-four functions in the first subcategory (partially funded by the central government). These include public schoolteacher salaries, expenses for poor relief, national health insurance benefits, medical treatment for the elderly, firefighting, and certain public works projects. Regarding the second subcategory, neither the type of projects deemed important, nor the criteria under which they would be considered important, are specified.

In its Local Finance White Papers, MIC's Local Public Finance Bureau describes NTD as a "collective term for the national obligatory share (futankin), commissioning expenses (itakuhi), and incentives or fiscal support for specific measures (tokutei no shisaku no shourei mata ha zaisei enjo), disbursed from the central government to local governments."[37] While the White Papers provide a breakdown of the sum of NTD disbursed by the central government to all local governments in different categories, these categories do not clearly map onto the three categories in the Local Public Finance Law (money for central government functions; money covering the central government's obligatory share of local government functions; and money for important projects undertaken by local governments). For the first twenty-five years of our study (1980–2005), NTD allocations to municipalities consisted of, in order of largest to smallest, expenses related to ordinary construction (on average, 33.6%), cash benefits for the poor (25%), Other (21.5%), welfare allowance for children (8%), and welfare allowance for the aged (3.4%).[38] The government has used slightly different categories since then.[39] In 2010 and 2015, NTD allocations to municipalities consisted of, in order of largest to smallest, expenses related to cash benefits for the poor (29.3%), child

[37] See, for example, page 421 of www.soumu.go.jp/main_content/000785192.pdf.

[38] See the table entitled Kuni, Ken Shishutsukin no Jyoukyou. Categories comprising smaller shares of the total include postdisaster restoration (3.1%), tuberculosis patients' medical expenses (2%), unemployment benefits (0.7%), commission money (2.7%), and fiscal support (0.2%). Note that these averages were computed from data collected at five-year intervals across my sample. In 1980, two additional categories reported were compulsory education at 0.5% and medical expenses for the elderly at 8%, respectively.

[39] The categories added were support for the independence of individuals with disabilities, child allowance, support for the noncollection of tuition fees at public high schools, support for hosting national facilities (Self Defense Force and US bases), traffic safety, support for power source areas, support for areas surrounding defense facilities, support for social infrastructure development, support for regional revitalization, and support for reconstruction in the wake of the earthquake and nuclear disaster on March 11, 2011. Old categories no longer in the breakdown are welfare allowance for the elderly and tuberculosis patients' medical expenses, respectively.

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allowance (17.9%), ordinary construction (10.6%), support for the independence of disabled people (9.9%), support for social infrastructure development (6.8%), and Other (12.9%).[40]

In contrast to LAT, there is a scholarly consensus that NTD allocations *are* vulnerable to political influence, especially by LDP politicians. How, exactly, is political influence exercised? The process through which money for a specific program or project is awarded begins with a ministry specifying categories of projects for which local governments can seek funds (Akizuki 1995, 342). To our knowledge, ministries do not publicize lists of these categories; nor is there a central repository of categories under which NTD is awarded. However, in 2016, the central government decided that local governments would be obliged to share information regarding the degree to which a certain program or project for which they received funding had met the goals of the umbrella category under which it was awarded. To facilitate this, the central government published "performance indicators" for certain categories of NTD. While gauging the representativeness or exhaustiveness of the publicized categories is difficult, the list provides us with a sense of the *type* of NTD categories that exist. Categories include the Regional Revitalization Promotion Grant (administered by the Cabinet Office), the Certified Center for Early Childhood and Care Maintenance Grant (Ministry of Education, Culture, Sports, Science, and Technology) the Employment Development and Support Subsidy and Water Maintenance Subsidy (Ministry of Health, Labour and Welfare), Measures for Projects that Nurture and Secure Local Leaders Subsidy (Ministry of Agriculture, Forestry and Fisheries), Comprehensive Subsidy for Social Infrastructure Development and Comprehensive Subsidy for the Maintenance and Promotion of Housing in Urban Areas (MIC), Promotion of a Recycling-Oriented Society Subsidy and Carbon Dioxide Emission Control Measures Subsidy (Ministry of the Environment), respectively.[41]

Local governments put together applications for specific programs or projects for which they seek to receive funds under different categories. These applications, known as Requests (Yobousho) or Petitions (Teian),

[40] Categories comprising smaller shares of the total include postdisaster restoration (0.7%), unemployment benefits (0.7%), commission money (1.2%), and fiscal support (0.06%), support for hosting national facilities (0.4%), traffic safety (0.3%), support for power source areas (0.4%), support for areas surrounding defense facilities (1.9%), regional revitalization (2.2%, only reported in 2015), support for reconstruction after earthquake and nuclear disaster on March 11, 2011 (3.0%, only reported in 2015).

[41] The policy under which this change occurred was the Basic Policy on Economic and Fiscal Management and Reform. See: www5.cao.go.jp/keizai-shimon/kaigi/special/reform/mieruka/db_top/link/performance.html.

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describe the project and use diagrams, maps, photographs, and other data to explain its importance to the local economy and/or livelihoods of residents. While local governments can always *send* their application to the relevant ministry to be evaluated alongside applications in the same category from other local governments, in practice, many local governments seek the opportunity to present bureaucrats in the ministries with their applications *in person* (Yonehara 1986, 166–168). To do this, local governments dispatch groups to Tokyo. In the case of municipalities, these groups are usually headed by the mayor and/or municipal assembly members and can include representatives from local construction firms and interest groups. Reed (1986, 39) calls the "floods" of municipal representatives who arrive in Tokyo to petition the central government each year "one of the most visible aspects of Japan's intergovernmental relations." In his assessment:

> Local governments act as interest groups, trying to get benefits from the central government. Although they are actually competing against each other for a piece of a limited pie, they act as if each request is independent of all the others. (Reed 1986, 153)

After arriving in Tokyo, it is customary for these groups try to meet with bureaucrats in the line ministry (with jurisdiction over the project), as well as with bureaucrats in the Ministry of Finance, which is in charge of the disbursal of monies, to make the case for their project (Saito 2010, 115). For assistance setting up these meetings, they turn to their local Diet Member(s). Meeting with a Diet Member right before making their way to the relevant ministry gives them the opportunity to hand over their application and personally request the Diet Member's "backing" (atooshi) in delivering it. The Diet member might send her secretary to the meetings with bureaucrats on her behalf. She might also place a phone call to the relevant ministries during the meeting with the local group. In Saito (2010)'s assessment, the "petition politics" (chinjyo seiji) Japanese municipalities engage in each year has become institutionalized to the extent that it resembles an art. Alongside meetings with Diet Members and bureaucrats, other events on the group's agenda while in Tokyo, particularly for large-scale projects such as the extension of a highway or bullet train line, can include social gatherings. Euphemistically called Demand-Realization Gatherings (Yokyuu Jitsugen Shuukai), the point of these parties is to invite the Diet Member and bureaucrats and showcase, via speeches by local residents, the consensus and enthusiasm in the community in support of the project (Saito 2010, 115).

While the process suggests there is ample room for the involvement of politicians, what grounds do we have that bureaucrats listen

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to them, such that year-to-year NTD allocations reflect politicians' electoral concerns? This question taps into one of the oldest debates in the Japanese politics literature, which concerns who retains the ultimate "say": bureaucrats or politicians. Ramseyer and Rosenbluth (1993) make the case that it is politicians (and specifically, politicians in the ruling LDP). By retaining vetoes over work done by bureaucrats, controlling promotions within the bureaucracy and access to postretirement jobs, and cultivating private sources of information about bureaucratic performance, the authors argue that while it can look like bureaucrats act autonomously, they actually "administer in the shadow of the LDP." By this, the authors mean that bureaucrats "write the bills that will best promote LDP electoral odds, and administer them in ways that will best lead to the same end" (Ramseyer and Rosenbluth 1993, 120–121). By using the bureaucracy as their own private think tank, the authors point out that LDP politicians gain a major advantage over non-LDP politicians. They can use government resources to bring "highways, schools, airports, and cash" into their electoral districts (Ramseyer and Rosenbluth 1993, 122). In support of this, the authors cite a bureaucrat interviewee:

> When an LDP politician asks for information, we give him a hundred pages. When an opposition politician asks, we give him two pages. Basically, we're here to be the LDP's Secretariat. (Ramseyer and Rosenbluth 1993, 106)

Later studies lend further support to the idea that power is vested in ruling party politicians, not bureaucrats. Estevez-Abe (2008), for example, presents examples of senior LDP politicians riding roughshod over plans that had been carefully drawn up by bureaucrats to deliver social protection to unorganized voters such as working families or unemployed people. She explains how universalistic welfare policies were all quashed on the grounds that they were not in keeping with the interests of the organized groups that senior LDP politicians courted for electoral support and financial contributions. In their place, senior LDP politicians pushed through a hodgepodge of policies that put into place a system under which social protection was delivered to targeted groups of beneficiaries, such as select industries, certain geographic areas, occupational groups, and business organizations, all of whom LDP politicians depended on for votes. Bureaucratic initiatives, she finds, only see the light of day when they accord with the "distributive priorities" of LDP lawmakers (Estevez-Abe 2008, 119). Saito (2010, 13), who studied the allocation of NTD, goes even further, arguing that the bureaucracy is so completely under the thumb of LDP lawmakers that the two entities should be considered one and the same (ittaika).

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Anecdotal evidence of the influence ruling party politicians supposedly wield regularly surfaces in the news media. In the wake of the 2021 Lower House election, for example, a newspaper article noted that the election had deprived both electoral districts located in Kitakyushu City (Fukuoka 9 and 10, respectively) of their LDP incumbents. Both Mihara Asahiko, the longtime representative of Fukuoka 9th, and Yamamoto Kozo, the longtime incumbent in Fukuoka 10th, had lost their races, with their advanced age disqualifying them from winning PR seats and entering the Diet that way.[42] The article quoted officials in the city administration, who expressed concern that the city's demands of the central government would no longer be heard (Asahi Shimbun 2021).

5.2.4 *Impact of Decentralization*

Beginning in the mid 1990s, the Japanese government embarked on a decentralization drive (Machidori 2023). Limits on the right of local governments to introduce new taxes, adjust tax rates, and issue government bonds for longer-term projects, combined with the burdens placed on local governments in terms of service provision, had come to be seen as factors preventing the development of more flexible and autonomous fiscal policies. Critics alleged that the current system of local government financing might have been necessary to recover from the economic devastation of the Second World War but was now doing more harm than good. Specifically, the system was said to be contributing to an overdependence on central government transfers and insufficient attention paid to fiscal discipline, particularly among overly dependent local governments (Shirai 2005).

The first phase of decentralization tackled the aforementioned "agency-delegated functions," under which local governments were statutorily deemed to be carrying out tasks on behalf of the central government (Machidori 2023). The second phase, dubbed the Trinity Reforms, was pushed by LDP Prime Minister Koizumi Junichiro (2001–2006). As its name suggests, there were three components. One was cuts to NTD funding: The government announced that in the 2004–2006 period, the amount of money spent on NTD would be cut by 4.7 trillion yen. The second component was cuts to LAT: Here, the announced reduction was 5.1 trillion yen. The third component was a transfer in tax resources from the central to local government: The central government announced a plan to cut national personal income tax and increase individual inhabitant tax, which was a key revenue source for local governments. Together,

[42] Dual candidacy is permitted under Japan's mixed-member electoral system. This is discussed further in Chapter 6.

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the government claimed that these changes amounted to a transfer in tax resources of approximately 3 trillion yen (Mochida 2008).

Could the cuts in spending and transfer of tax resources have made it more difficult for LDP politicians to use NTD to reward electoral support? While this is certainly possible, scholars have described the impact of the reforms as limited. Naoi (2015, 31), for example, calls the impact of decentralization "moderate" and stresses the fact that municipalities still relied on the central government for approximately 60% of their revenue after the Trinity Reforms. Moreover, because the reform aimed to relax the regulations imposed on local governments, with the idea that they would then be freer to develop programs suited to the needs of their residents (Mochida 2008), the cuts to NTD may have been concentrated in the categories through which the central government enforced its regulations. This is not NTD distributed under Article 16 (for projects deemed necessary), but NTD distributed under Article 10 (for the local government's fulfillment of certain central government functions and for the central government's obligatory share in the cost of certain local government functions). While this is merely a conjecture and further research is needed, it is supported by the fact that, when the National Governor's Association was asked to come up with a proposal for where the NTD cuts would come from, only 16% of those proposed, which were eventually accepted by the Cabinet, came from Article 16-style NTD allocations (Suzuki and Takahashi 2015, 47). Reflecting this, one analyst concluded that "the effect of the cut in earmarked grants in practice was less than it appeared in principle" (Mochida 2008, 155).

In sum, the majority of municipalities in Japan depend on central government transfers for large shares of their operating revenue. One of those transfers, NTD, is allocated at the discretion of central government bureaucrats. Because NTD are funds for specific projects, with amounts designed to cover either the full or partial cost of a project, the total amount of NTD municipalities receive in a given year is not determined by formula. Instead, it is the product of *municipalities*' efforts (to put together proposals and persuade bureaucrats to fund them), *politicians*' efforts (to connect municipalities and bureaucrats and persuade bureaucrats), and *bureaucratic priorities*. In this setting, it is possible that LDP incumbents apportion their lobbying in ways that could translate into NTD allocations that track levels of electoral support. If an LDP politician devotes the most effort to persuading bureaucrats to fund projects in the municipality that ranked first in electoral loyalty, slightly less effort to persuading bureaucrats to fund projects in the municipality that placed second, and so on, then we can expect that the cumulative output of

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all this lobbying will be NTD allocations that reflect their incentives under a tournament.

5.3 FEWER TOURNAMENT-POSSIBLE DISTRICTS OVER TIME

The above section made it clear that many candidates in Japan's Lower House elections compete in electoral districts divisible into groups of voters, from which support is discernible and to which resources are targetable. This section offers precise figures on the number and share of electoral districts meeting these conditions in every Lower House election held in our period of study (1980–2014). Doing so first requires us to be explicit about the type of districts in which these conditions are *not* met. Broadly speaking, in the Japanese case, there are three categories of district in which tournaments are not possible.

One, owing to the way votes are counted in Japan, electoral districts consisting of a single municipality do not give politicians a means of discerning their support at a disaggregated level therein. Nor do they offer a means of targeting money at this disaggregated level. Thus, the conditions for tournaments are not met in districts comprising a single municipality, even if that municipality is perfectly contained within the district. Table 5.1 presents tallies of the number of electoral districts in all three categories in the Lower House elections in my sample and their percentage of the total number of electoral districts used. To classify electoral districts into each category, I relied on the comprehensive, municipality-level data I gathered for this project, which is described in Chapter 6. The numbers in the first row capture the number of electoral districts in this first category.

Two, electoral districts in which a sizeable share of voters reside in a municipality whose area spills out into another electoral district also do not meet these conditions. Japan's vote counting rules mean that municipalities whose area straddles more than one electoral district can set up distinct Vote Counting Units to correspond with each of the electoral districts they are located in. Thus, politicians in electoral districts that contain a section of a municipality whose other sections lie in other electoral districts will be able to observe how many *votes* they received in their section of the municipality (these vote tallies are needed to calculate district-level vote tallies). However, because NTD is targeted at the municipality as a whole, they lack the means of *targeting* their section of the municipality with resources. Any resources they deliver will go to the municipality as a whole, which means that they could be spent in the sections of the municipality located in a different electoral district.

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Table 5.1 *Tally of electoral districts not meeting the conditions for a tournament in Japan's Lower House elections, 1980–2014.*

Election year	1980	1983	1986	1990	1993	1996	2000	2003	2005	2009	2012	2014
Solo-municipality districts	0	0	0	0	0	18	18	16	13	12	13	12
Split-municipality districts	3	3	3	3	2	27	27	32	65	89	102	93
(only split, not only split)	(0, 3)	(0, 3)	(0, 3)	(0, 3)	(0, 2)	(11, 16)	(11, 16)	(13, 19)	(19, 46)	(17, 72)	(16, 86)	(16, 77)
Ordinance-designated city districts	9	9	9	9	9	35	35	36	37	41	40	38
Total tournament-impossible districts	12	12	12	12	11	80	80	84	115	142	155	143
Percentage of total districts	9	9	9	9	9	27	27	28	38	47	52	48
Total districts	130	130	130	130	129	300	300	300	300	300	300	295

Each row identifies a different reason why a district does not meet these conditions.

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Within this second category of tournament-impossible electoral district, my data revealed that there are two subcategories: districts consisting *solely* of split municipalities and districts consisting of some municipalities whose borders are perfectly contained in the district, *plus* one or more split municipalities, whose borders are not. Districts in the first subcategory do not meet the conditions for tournaments. When it comes to districts in the second subcategory, it is reasonable to expect that if the vast majority of a district's voters resided in municipalities whose borders were perfectly contained in the district, then a politician could still implement a tournament, even if a small sliver of the district's voters resided in a municipality whose area spilled out into another district. On the other hand, if a sizeable share of a district's voters resided in the split municipality, then it is reasonable to assume that a tournament would be difficult. For each Lower House election, for all districts falling in this second subcategory, I counted the number of districts in which a sizable share of voters resided in a split municipality.[43] In Table 5.1, the second row reports the number of districts in this second category. Underneath this value, the numbers in parentheses capture the number in the first and second subcategories, respectively.

Three, when cities in Japan reach a population threshold of 500,000, they can apply for a status as an ordinance-designated city (seirei shitei toshi).[44] Ordinance-designed cities have fiscal relationships with the central government that are different from other municipalities (Horiuchi and Saito 2003). They are comprised of wards, at which Vote Counting Units are established and thus, vote tallies reported, but these wards do not appear to be entities to which the central government delivers NTD.[45] The central government delivers NTD to the city, but how the

[43] I used 10% as a rule of thumb. If more than 10% of a district's voters resided in a split municipality, I coded the district as not meeting the conditions for a tournament. To do this, I calculated the number of voters in the average electoral district in each election and took 10% of this. If a given electoral district had a split municipality within it whose population exceeded this value, the district was placed in this subcategory and coded as tournament-impossible.

[44] Cities with this designation across the full period are Kyoto, Osaka, Yokohama, Kobe, Nagoya, Sapporo, Kawasaki, Fukuoka, Hiroshima, and Kitakyushu cities. To these, Sendai City was added in 1989, Chiba City in 1992, Saitama City in 2003, Shizuoka City in 2005, Sakai City in 2006, Niigata City and Hamamatsu City in 2007, Okayama City in 2009, Sagamihara City in 2010, and Kumamoto City in 2012, respectively. Tokyo has a special designation as a "to" (metropolis), which puts it on equal footing (at least with regard to the conditions for GBC) to the other forty-six prefectures (which are "ken," "fu," and "do", respectively).

[45] For ordinance-designated cities, the central government reports financial statistics at the level of the city as a whole, including amounts of NTD delivered (to the city), but not at the level of the wards within the city (see "Shichoson no Sugata" at

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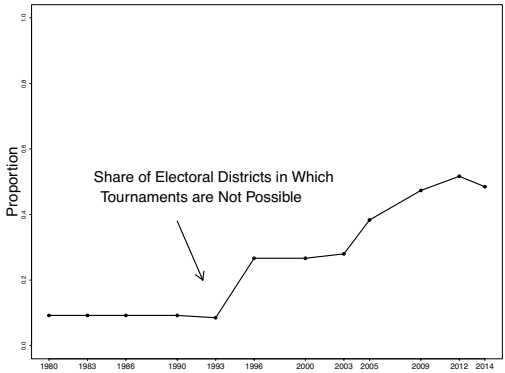

Figure 5.7 Share of electoral districts in Japan's Lower House elections (1980–2014) in which tournaments are not possible.

city decides to divvy this up to the wards is not well understood.[46] Thus, while candidates competing in electoral districts located in these cities can observe their vote tallies at a disaggregated level within their district (at least, if their district is made up of more than one ward), they cannot deliver funds to these units in the same manner as they do to other units. Thus, electoral districts located within ordinance-designated cities do not meet the conditions for a tournament, at least according to my criteria. In Table 5.1, the third row reports the number of districts in this third category.[47]

In the bottom rows of Table 5.1, the number of tournament-impossible districts in each Lower House election is reported, as well as their percentage of the total number of districts. Figure 5.7 presents this percentage as a share, plotting the share of all electoral districts used in Lower House elections from 1980 to 2014 that are tournament-impossible. We can discern several changes over this period. In the five elections prior to electoral reform in 1994, this coding reveals that tournaments were possible in more than 90% of electoral districts. Table 5.1 tells us that there were no districts in the first category, only two or three in the second, and only nine in the third. The 1994 electoral reform created new districts, just over a quarter of which were tournament-impossible. This was the result of an increase in number of districts in all three categories. This makes sense when we recall that the reform introduced single-member districts,

www.stat.go.jp/data/s-sugata/naiyou.html). I could not find any evidence that NTD is deliverable by the central government to these wards.

[46] I consulted the budgets of several ordinance-designated cities, and they did not record how NTD was divvied up across wards.

[47] In 2009, 2012, and 2014, there were a total of forty-three electoral districts in this category, but several of those were Split-Municipality Districts, so are accounted for by the figures in the second row.

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so necessitated the division of the same geographic area (the country of Japan) into a much larger number of districts. As a result, the number of Solo-Municipality, Split-Municipality, and Ordinance-Designated City Districts all increased.

The share of tournament-impossible districts remained relatively stable from the 1996 election through the 2003 election (at 27–28%), before increasing again, to almost 40% of districts in 2005. As I mentioned above, the 2001–2005 period saw thousands of municipal amalgamations. As municipalities became bigger, it was no longer possible to have as many electoral districts drawn *around* the borders of municipalities. Table 5.1 tells us that the increase in share of tournament-impossible districts between 2003 and 2005 is primarily due to an increase in number of Split-Municipality Districts, in which a sizeable share of voters reside in a municipality whose borders spill out into another district. The decrease in number of Solo-Municipality Districts across the postreform period, from 1996 until 2014, is another by-product of already-populous municipalities becoming even more populous and spilling out into neighboring districts.

The share of tournament-possible districts jumped again between 2005 and 2009 and between 2009 and 2012, respectively, to constitute just under and over 50% of all districts, respectively. This was again due to increases in the number of Split-Municipality Districts. Between 2012 and 2014, there was a redistricting, which saw the total number of districts cut from 300 to 295. This means that the average electoral district contained slightly more voters in 2014 than in 2012. The fact that districts got slightly "bigger" between 2012 and 2014 is reflected in a slight reduction in number of Split-Municipality Districts and Ordinance-Designated Districts, respectively, and a decrease in share of tournament-possible districts (from 52% of the total in 2012 to 48% in 2014).

In Figure 5.8, I plot the share of all voters in Japan who reside in tournament-possible electoral districts. To construct this, I took my classifications of electoral districts as tournament-possible and -impossible, respectively, and I merged them with elections data in Reed and Smith (2015). Using their variable capturing the number of eligible voters in each electoral district, I calculated the share of all voters in Japan who reside in districts in which the theory posits that tournaments are being conducted. The data show that the voting population in Japan has ranged from just over 80 million (in 1980) to a high of just over 104 million (in 2012; by 2014, it had declined slightly to 103.9 million). In elections prior to 1994, my calculations show that about 90% of all Japanese voters resided in these districts (this is between 71 and 85 million people). In 1996, 2000, and 2003, it was about 70% of voters (around 70 million

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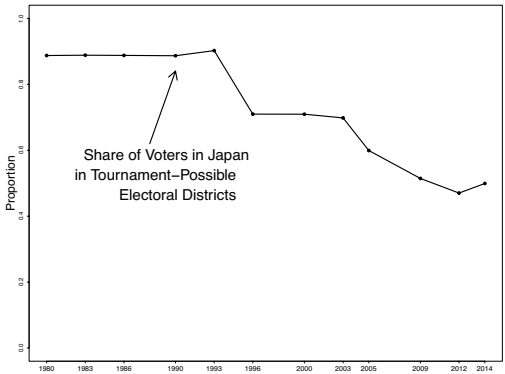

Figure 5.8 Share of all voters subject to a tournament in Japan's Lower House elections, 1980–2014.

people). In 2005, it was about 60% (around 61 million people). Then, in 2009, 2012, and 2014, respectively, it was about 50% of all voters (or around 50 million people).

5.4 ELECTION OUTCOMES DIFFER IN TOURNAMENT-POSSIBLE DISTRICTS

We have established that the share of electoral districts meeting the conditions for a tournament in Japan's Lower House elections has decreased over our period of study, first in the wake of electoral reform (in 1994) and second in the wake of municipal amalgamations (2001–2006). Ongoing urbanization, a process separate from electoral reform or municipal mergers, has also contributed to the decrease in share of electoral districts in which tournaments are possible. In Chapters 6–8, I leverage a comprehensive new dataset on geographically targeted spending and voting behavior at the level of the municipality in Japan to conduct rigorous empirical tests designed to gauge whether tournaments are being conducted inside tournament-possible districts. My evidence shows that LDP politicians in tournament-possible districts contest Lower House elections by pitting the municipalities in their districts against each other in a competition over which is the most electorally supportive. After observing each municipality's performance for them in an election, LDP politicians use the transfer system, ostensibly under the control of central government bureaucrats, to generate prizes that disproportionately reward the more supportive municipalities in their district over less supportive ones.

Before embarking on this analysis, however, the increase in share of tournament-impossible districts over our period of study affords us the opportunity to conduct a simple comparison of election outcomes across the two types of electoral districts. If the theory offered in this

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Table 5.2 *Tournament-possible districts have higher support for LDP candidates, are more likely to see an LDP winner, are less likely to see no LDP candidate fielded, and have higher turnout in Lower House elections, 1980–2014.*

	Dependent variable			
	LDP $VS_{d,t}$ (1)	LDP $Winner_{d,t}$ (2)	No LDP $Candidate_{d,t}$ (3)	$Turnout_{d,t}$ (4)
Tournament-possible district	0.057***	0.113***	−0.035***	0.038***
	(0.004)	(0.017)	(0.008)	(0.002)
District magnitude	−0.029***	0.019	−0.003	−0.009***
	(0.004)	(0.017)	(0.008)	(0.002)
Constant	0.445***	0.823***	0.043	0.742***
	(0.017)	(0.076)	(0.037)	(0.010)
Observations	2,636	2,636	2,744	2,744
Year FE	Y	Y	Y	Y
R^2	0.257	0.257	0.029	0.640

***$p < 0.001$.

book is correct, and LDP politicians are conducting tournaments in tournament-possible districts and a different electoral strategy entirely in tournament-impossible districts, then leaving aside the question of what that latter strategy is, we should observe election outcomes diverging systematically as a function of the type of electoral district LDP candidates are in. Evidence of qualitative differences in election outcomes strengthens my claim that there is a *distinct* electoral strategy being undertaken by LDP candidates in tournament-possible districts.

In Table 5.2, I present the results of four ordinary least squares regressions. These regressions are based on a dataset I created by merging my classifications of electoral districts described above with data from Reed and Smith (2015). The unit of observation in the dataset is the electoral district, and the sample is the universe of electoral districts in Lower House elections, 1980–2014. My first question of interest is whether, controlling for other differences across electoral districts, tournament-possible districts exhibit a statistically discernible difference in electoral support for LDP candidates. In Model 1, I limit the sample to districts with at least one LDP candidate running. The dependent variable is LDP $VS_{d,t}$, the share of eligible voters in the district who voted for any one of the LDP candidates who ran (this ranges from 0.06 to 0.68).[48]

[48] In Japanese, this is zettai tokuhyouritsu. Another means of calculating electoral support is to use sotai tokuhyouritsu, which is votes cast for LDP candidates divided by valid votes cast.

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The coefficient on Tournament-Possible District is positive and statistically significant, controlling for election year and number of seats in the district (district magnitude).[49] On average, districts in which tournaments are possible return a vote share for the LDP that is 5.7% higher than districts where tournaments are not possible.

My next question of interest is whether, controlling for other differences across electoral districts, tournament-possible and tournament-impossible districts differ in the probability of seeing an LDP candidate *win* the election. In Model 2, I use the same sample as in Model 1: districts with at least one LDP candidate in all Lower House elections in the sample. My dependent variable of interest is LDP Winner$_{d,t}$, a dummy variable indicating that the district had at least one LDP winner (it ranges from 0 to 1).[50] The coefficient on Tournament-Possible District is positive and statistically significant, controlling for year and district magnitude. It tells us that on average, districts where tournaments are possible are 11% more likely to see at least one LDP winner emerge.

My third question of interest is whether, controlling for other differences between districts, tournament-possible and tournament-impossible districts differ in the probability of seeing no LDP candidate fielded. In Model 3, the sample is all electoral districts in all elections in the sample. My dependent variable of interest is No LDP Candidate$_{d,t}$, a dummy variable indicating districts without any LDP candidate (it ranges from 0 to 1).[51] The coefficient on Tournament-Possible District is negative and statistically significant, controlling for year and district magnitude. On average, districts in which tournaments are possible are 3.5% less likely to see no LDP candidate fielded.

My final question of interest is whether, controlling for other differences between districts, tournament-possible districts exhibit statistically discernible differences in turnout. In Model 4, the sample is all districts in all elections in the sample. My dependent variable is interest is Turnout$_{d,t}$, which is the share of a district's voting population who cast valid votes in the relevant Lower House election (it ranges from 0.39 to 0.93). The coefficient on Tournament-Possible District is positive and statistically significant, controlling for year and district magnitude. On average, districts in which tournaments are possible exhibit a turnout level that is 3.8% higher.

In sum, Table 5.2 offers evidence that election outcomes vary systematically by the type of electoral district candidates are competing in. While my primary goal with these tests was to evaluate whether

[49] I limit the controls out of concern for posttreatment bias.
[50] This is a linear probability model.
[51] This is a linear probability model.

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tournament-possible districts produce election outcomes that differ systematically from those in tournament-impossible districts, the results also suggest that tournaments also produce stronger electoral performance by LDP candidates (Models 1, 2, and 3) and higher political participation (Model 4), respectively. This accords with the main claim of this book, which is that tournaments help LDP politicians win elections, and the mechanism through which they do this is by increasing the incentive to turn out and vote for LDP candidates among voters in supportive municipalities in tournament-possible districts, whose votes have been made to matter enormously for the amount of money their municipality receives. As such, the direction of the differences in outcomes across the two types of electoral districts, with *stronger* performance by LDP candidates and *higher* political participation in tournament-possible districts relative to tournament-impossible ones, is also in keeping with the theory's predictions.

While the theory holds that LDP politicians will conduct tournaments in tournament-possible districts, it is agnostic about the type of electoral strategy LDP politicians will adopt *outside* these districts. However, almost every study of vote buying described in Chapters 2 and 3, both theoretical and applied, models it as a choice between vote buying *or* competition on policy grounds, where policy refers to broad programmatic policies. On these grounds, it is reasonable to expect that in tournament-impossible districts, LDP politicians will be using positions on policy issues to try to win. If that is the case, then it follows that the growth of tournament-impossible districts after electoral reform and municipal mergers, respectively, should have injected a large amount of policy competition into an otherwise particularism-oriented electoral landscape.

This is exactly what has occurred: A host of studies have documented the rise of programmatic policy competition in the wake of Japan's 1994 electoral reform and have attributed it to changes in the behavior of LDP politicians (Catalinac 2016, 2015; Reed, Scheiner and Thies 2012; Krauss and Pekkanen 2010; Rosenbluth and Thies 2010; Krauss and Pekkanen 2004). Other studies have pointed out that this "new" policy competition has sat, somewhat uneasily, alongside more traditional campaign tactics adopted by LDP politicians, which emphasize particularistic favors and personalized help for community members (Christensen and Selway 2017; Krauss and Pekkanen 2010; Koellner 2009; Scheiner 2006; Tani 1998). Moreover, policy competition received a noticeable "boost" in the 2005 and 2009 elections, respectively. Chapter 2 documented how the 2005 election was successfully framed by the LDP leader (Prime Minister Koizumi Junichiro) as one in which voters had to decide whether they

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were for or against reform, which in this case was postal privatization (Nemoto, Krauss and Pekkanen 2008; Maclachlan 2006). In 2009, the Democratic Party of Japan (DPJ), which had been the LDP's main rival since the 1990s, framed the election similarly, calling on voters to decide whether they wanted a change of government or more of the same. The LDP lost this election.

In Table 5.1, we saw that the biggest increases in share of tournament-impossible districts occurred in the 1996 election, the 2005 election, and the 2009 election, respectively. These increases correlate perfectly with the three elections in which policy competition suddenly appeared to play a much more prominent role in Japanese elections. In Chapter 6, I present stronger evidence that the rise of policy competition since 1994 is indeed connected to the increase in share of tournament-impossible districts after 1994. First, however, we turn our attention to the core question this book seeks to answer: Are LDP politicians using tournaments in tournament-possible districts? This is the subject of Chapters 6–8.

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